Illustration 3

A partnership firm has decided to value its goodwill for the purpose of settling a retiring partner. The profits of that firm for the last four years were as follows:
2015: ₹ 40,000; 2016: ₹ 50,000; 2017: ₹ 48,000 and 2018: ₹ 46,000
The business was looked after by a partner. No remuneration was paid to him. The fair remuneration of the partner valued at comes to ₹ 6,000 per annum.
Find out the value of goodwill, if it is valued on the basis of three years purchase of the average profits of the last four years.

Solution

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$= \frac{40,000 + 50,000 + 48,000 + 46,000}{4}$$

$$= \frac{1,84,000}{4} = ₹\ 46,000$$

Average profit before adjusting fair remuneration of the partner	₹ 46,000
Less: Fair remuneration of partners	6,000
Average profit	40,000

Goodwill = Average profit × Number of years of purchase
= 40,000 × 3 = ₹ 1,20,000

Illustration 4

From the following information relating to Arul enterprises, calculate the value of goodwill on the basis of 2 years purchase of the average profits of 3 years.

(a) Profits for the years ending 31st December 2016, 2017 and 2018 were ₹ 46,000, ₹ 44,000 and ₹ 50,000 respectively.

(b) A non-recurring income of ₹ 5,000 is included in the profits of the year 2016.

(c) The closing stock of the year 2017 was overvalued by ₹ 10,000.

Solution

Calculation of adjusted profit

Particulars	2016 ₹	2017 ₹	2018 ₹
Profit	46,000	44,000	50,000
Less: Non- recurring income	5,000	-	-
	41,000	44,000	50,000
Less: Over valuation of closing stock	-	10,000	-
	41,000	34,000	50,000
Add: Over valuation of opening stock	-	-	10,000
Profit after adjustments	41,000	34,000	60,000

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